

**DECLARATION OF COVENANTS,
CONDITIONS, RESTRICTIONS, AND EASEMENTS FOR
UPPER CENTRAL TOWNHOUSES AT LAKE DAVIDSON,
A SUB-COMMUNITY OF
DAVIDSON BAY BY THE WATER**

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STATE OF NORTH CAROLINA}
COUNTY OF MECKLENBURG}

DECLARATION OF
COVENANTS, CONDITIONS,
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CENTRAL TOWNHOUSES AT
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BAY BY THE WATER

THIS DECLARATION OF COVENANTS, CONDITIONS, RESTRICTIONS, AND EASEMENTS FOR UPPER CENTRAL TOWNHOUSES AT LAKE DAVIDSON, A SUB-COMMUNITY OF DAVIDSON BAY BY THE WATER (as hereafter amended, restated, and supplemented, this “Sub-Declaration”) is made, entered into, and declared as of July 9, 2020, by **BEATY STREET DEVELOPMENT, LLC**, a North Carolina limited liability company (hereinafter, “Declarant”).

WHEREAS, Declarant is the owner of that certain real property located in Mecklenburg County, North Carolina which is more particularly described and depicted on Exhibit A attached hereto and incorporated herein by this reference (the “Property”). Declarant intends for the Property to be developed as a residential development and for the Property to be subject to the terms of this Sub-Declaration; and

WHEREAS, In order to insure the proper use, appropriate development and improvement of the Property, and to enhance the value, desirability, and attractiveness of the Property, and to provide for a method of maintenance and continued improvement of certain facilities and other improvements within the Property, Declarant, for the use and benefit of itself, and its successors and assigns, do hereby declare, encumber, place and impose upon the Property certain covenants, conditions, restrictions, and easements as more specifically set forth in this Sub-Declaration. This Sub-Declaration is intended to complement and supplement local governmental laws and regulations; and in the event of a conflict occurring between the provisions of this Sub-Declaration and such laws and regulations, the strictest requirements shall control. This Sub-Declaration is intended to complement and supplement the Declaration of Covenants, Conditions, Restrictions and Easements for Davidson Bay by the Water, recorded in the Mecklenburg County Register of Deeds (the “ROD”) in Book 26128, Page 806 (as amended and supplemented, now or hereafter, the “Master Declaration”); and in the event of a conflict occurring between the provisions of this Sub-Declaration and the Master Declaration, the strictest requirements shall control; and

WHEREAS, Declarant has deemed it desirable, for the efficient preservation of the values and amenities now and/or hereafter in the Property, to create an entity to which should be delegated and assigned the powers of maintaining, administering, operating, and replacing the Facilities, administering and enforcing the covenants, conditions, and restrictions, and collecting and disbursing any assessments and charges hereinafter created. Declarant has caused or will cause to be incorporated under the laws of the State of North Carolina a nonprofit corporation named Upper Central Townhouses at Lake Davidson Sub-Association, a Sub-Community of Davidson Bay by the Water, Owners Association, Inc. (the “Sub-Association”), for the purpose of exercising the functions aforesaid.

NOW, THEREFORE, Declarant declares that the Property shall be held, developed, improved, leased, sold, transferred, conveyed, and occupied subject to the terms of this Sub-Declaration (including, but not limited to: (i) the above provisions, and (ii) the below covenants, conditions, restrictions, reservations, easements, charges, and liens) (sometimes collectively referred to herein as “covenants and restrictions”)), for the purpose of protecting the value and desirability of, and which shall run with title to, the Property, and shall be binding on all parties having a right, title or interest therein, along with their heirs, successors and assigns, and which shall inure to the benefit of each owner thereof.

ARTICLE 1 PROPERTY SUBJECT TO THIS SUB-DECLARATION

ARTICLE 1.1 Property. The Property is, and shall be, held, used, transferred, sold, subdivided, conveyed and occupied subject to this Sub-Declaration.

ARTICLE 1.2 Additions to Property. Declarant, its successors and assigns, shall have the right, but not the obligation, without further consent of the Sub-Association or its Members, to bring within the scheme and operation of this Sub-Declaration all or any portions of the real property now or hereafter subjected to the Master Declaration and that adjoins or is otherwise in the vicinity of the Property which shall then be owned by Declarant, as added to under the terms of this Sub-Declaration from time to time. The additions authorized under this Sub-Declaration shall be made by filing of record, in the ROD, one or more supplements to this Sub-Declarations with respect to such additional property or properties, executed by the Declarant and, if different, the owner(s) of the additional property, which shall extend the operation and effect of this Sub-Declaration to such additional property or properties (such supplement sometimes referred herein to as a “Supplemental Sub-Declaration”). Any Supplemental Sub-Declaration(s) may specify such additional specific use restrictions and other covenants, conditions and restrictions to be applicable to the added property and may contain such complementary additions and modifications of this Sub-Declaration as may be necessary or convenient, in the sole judgment of the Declarant and, if different owner(s), the owner(s) of the additional property, to reflect and adapt to any difference in character of the added properties. In no event, however, shall any such Supplemental Sub-Declaration modify or add to the covenants and restrictions established by this Sub-Declaration so as to negatively affect the Property; however, this proviso shall not be interpreted to prohibit or prevent any properly instituted change in the amount of the “Assessments” (as hereinafter defined) payable by a Member of the Sub-Association by reason of any such additions; nor shall any such Supplemental Sub-Declaration adversely affect the common development scheme of the Property for use as a residential development.

ARTICLE 1.3 Withdrawal of Property. Declarant reserves the right to amend this Sub-Declaration, so long as it has a right to annex additional property pursuant to the terms of this Sub-Declaration remains, for the purpose of removing any portion of the Property which has not yet been improved with structures from the coverage of this Sub-Declaration, provided such withdrawal does not reduce the total number of Lots then subject to this Sub-Declaration by more than ten percent (10%). Such amendment shall not require the consent of any person other than the Owner(s) of the property to be withdrawn, if not Declarant, and, if required, the FHA or the VA. If the property is or includes Common Area, the Association must first consent to such withdrawal. Unless otherwise specifically provided herein, Declarant shall not have the right to

withdraw any of the Property from the terms of this Sub-Declaration without the consent of at least two-thirds of the Lot Owners other than Declarant.

ARTICLE 1.4 Access Easement Reserved. Declarant reserves unto itself for the benefit of Declarant, its successors and/or assigns, a non-exclusive and alienable easement and right of ingress, egress, and regress over and across all private streets and roads within the Property, if any, for access to and from other real property of Declarant or its successors and/or assigns. In addition, an easement and right of ingress, egress and regress over and across all private streets and roads within the Property, if any, is hereby granted to any applicable government agency, for the purpose of fulfilling their duties, including, without limitation, law enforcement, fire protection, garbage collection, delivery of the mail, and any other service related to keeping the peace and preserving the general welfare.

ARTICLE 2 DEFINITIONS

ARTICLE 2.1 Definitions. The following words when used in this Sub-Declaration or any amended or Supplemental Sub-Declaration (unless the context shall require otherwise) shall have the following meanings.

(i) “Assessments” shall mean and refer to the assessment(s) and charges levied by the Sub-Association against Members who are the Owners of Lots or Dwelling Units in the Property and shall include annual Assessments, special Assessments, and Special Individual Assessments as described in this Sub-Declaration.

(ii) “Board” shall mean and refer to the Board of Directors of the Sub-Association.

(iii) “Building” shall mean each group of Dwelling Units constructed as one structure.

(iv) “Bylaws” shall mean and refer to the bylaws of the Sub-Association and all amendments thereto.

(v) “Common Area” shall mean and refer to those areas of land described or referred to as “Amenity Area”, “Amenity Areas”, “Common Open Space”, “Common Open Spaces”, “COS”, “Common Property”, “Common Properties”, “Common Area”, or “Common Areas” in any declaration of covenants, conditions and restrictions to which the Property is submitted or subjected by the Declarant, or shown on any Recorded Plat as “Amenity Area”, “Amenity Areas”, “Common Property”, “Common Properties”, “Common Area” or “Common Areas”, or shown on a Recorded Plat as open space, streets, roads, or pedestrian walking easements (together with all improvements located thereon) which are a part of the Property and as such are intended to be devoted to the common use and enjoyment of the Members, subject to special rights and limitations, if any, granted to or imposed on Owners of particular Lots or Dwelling Units. The Common Area shall also include any storm water device that serves more than one (1) Lot, and any utility line located outside public street rights-of-way and public utility easements and serving more than one (1) Lot. The Common Area may be conveyed to the Sub-Association for the benefit of each of the Owners.

(vi) "Common Expenses" shall mean and refer to:

(a) Expenses of administration, operation, utilities, maintenance, repair, or replacement of the Common Area, including payment of taxes and public assessments levied against the Common Area.

(b) Expenses declared Common Expenses by the provisions of this Sub-Declaration or the Bylaws, including certain maintenance and repairs to the exterior of the townhomes.

(c) Expenses agreed upon from time to time as Common Expenses by the Sub-Association and lawfully assessed against Members who are Owners in the Property, in accordance with the Governing Documents.

(d) Any valid charge against the Sub-Association or against the Common Area.

(e) Any expenses incurred by the Sub-Association in connection with the discharge of its duties hereunder and under the Bylaws and its articles of incorporation.

(vii) "Declarant" shall mean and refer to Beaty Street Development, LLC, a North Carolina limited liability company, its successors and assigns, and any person or entity who is specifically assigned the rights and interests of Declarant hereunder or under a separate instrument executed by the Declarant and recorded in the ROD. Declarant is the entity that has been granted the right, power, authority, duty, or obligation to exercise the powers of the Declarant to ensure the development and maintenance of the Property as herein set forth. Declarant may freely assign its rights, remedies, and position hereunder, in part or in full.

(viii) "Dwelling Unit" shall mean and refer to any improvement or portion thereof situated on an Improved Lot intended for use and occupancy as one (1) single family attached townhouse dwelling, irrespective of the number of Owners thereof (or the form of ownership) located within the Property. Where appropriate by context, the term shall include both the improvements and the real property on which the improvements are situated.

(ix) "Facilities" means any private streets, private roads, private footways, Common Area, open spaces, landscaping, entrances, drainage facilities, access easements, site lighting and signage, and any recreation area(s) and any other common facilities shown on any Recorded Plat (as hereinafter defined).

(x) "FHA" shall mean and refer to the Federal Housing Authority of the United States Department of Housing and Urban Development.

(xi) "Governing Documents" shall mean and refer to this Sub-Declaration, any amendments or supplements thereto, the Bylaws, the Sub-Association's articles of incorporation and any rules or regulations as may be adopted from time to time.

(xii) "Improved Lot" shall mean and refer to any Lot on which the improvements constructed thereon are sufficiently complete to be occupied as a Dwelling Unit.

(xiii) "Lot" shall mean and refer to any numbered parcel of land within the Property which is intended for use as a site for a Dwelling Unit, as shown upon any Recorded Plat of any part of the Property and labeled thereon as a "Lot", and shall not include Common Area or any property in the Property not yet subdivided for sale as an individual lot. No property in the Property shall be developed as a Dwelling Unit until designated as a Lot on a Recorded Plat. Property designated as a Lot may later be designated for some other use on a Recorded Plat.

(xiv) "Member" shall mean a member of the Sub-Association and shall refer to an Owner in the Property.

(xv) "Owner" shall mean and refer to the record owner, whether one or more persons or entities, of the fee simple title to any Lot situated upon the Property. Notwithstanding any applicable theory of any lien or mortgage law, "Owner" shall not mean or refer to any mortgagee or trust beneficiary unless and until such mortgagee or trust beneficiary has acquired title pursuant to foreclosure or any grant or proceeding in lieu of foreclosure. (Note: the words "Member" and "Owner" are meant to describe owners of Lots interchangeably as semantics dictate throughout this Sub-Declaration.)

(xvi) "Recorded Instrument" shall mean and refer to any document relating to the Property, or any portion thereof, recorded in the ROD and executed by the Declarant (during Class II membership and until two (2) years after termination thereof, and by the Sub-Association otherwise) to show its consent thereto (and by any other Owner(s) of property described therein and affected thereby if different). In any case in which the designation or description of the same property described in two different Recorded Instruments is different (for example, property is designated as a Lot in one instrument and a street in another, or legal boundaries of areas are described differently in different Recorded Instruments), the designation and description on the later-recorded of the Recorded Instruments shall control.

(xvii) "Recorded Plat" shall mean and refer to any map of the Property, or any portion thereof, recorded in the ROD and executed by the Declarant to show its consent thereto (and by any Owner(s) of such property whose survey is shown thereon if different). In any case in which the designation and/or boundary lines of the same property shown on two different Recorded Plats are different (for example, property is designated as a street on one plat and as a Lot on the other, or boundary lines are shown differently on two different Recorded Plats), the designation and boundary lines on the later-recorded of the Recorded Plats shall control.

(xviii) "VA" shall mean and refer to the United States Department of Veterans Affairs.

ARTICLE 3 GENERAL PROVISIONS

ARTICLE 3.1 Duration. The covenants and restrictions of this Sub-Declaration shall run with the land, and shall inure to the benefit of, and be enforceable by, the Sub-Association or any Owner, its and their respective legal representatives, heirs, successors, and assigns, for the term of the Master Declaration, as amended and executed from time to time. This Sub-Declaration may be amended in accordance with the provisions of this Sub-Declaration. Amendments made in

conformity with Sub-Declaration may alter any portion of this Sub-Declaration hereof, including, but not limited to, the duration and amendment provisions hereof.

ARTICLE 3.2 Notices. Any notice required to be sent to any Member or Owner, under the provisions of this Sub-Declaration, shall be deemed to have been properly sent when mailed, postage prepaid, registered or certified mail, return receipt requested, or deposited with an overnight courier (such as, but not limited to, Federal Express) and addressed to the person at the last known address of the person who appears as Member or Owner on the records of the Sub-Association at the time of such mailing. In the event that a Member or Owner's address is absent from the Sub-Association's records, the notice may be sent to the address listed on the Mecklenburg County tax records at the time of the mailing. The sender shall not be required to cause title to any Lot or Dwelling Unit to be examined. Notice to any one of the Owners, if title to a Lot or Dwelling Unit is held by more than one, shall constitute notice to all Owners of that Lot or Dwelling Unit.

ARTICLE 3.3 Enforcement.

(i) The Sub-Association, Declarant, and/or any Owner may enforce these covenants and restrictions. Failure by the Sub-Association, Declarant or any Owner to enforce any covenant or restriction herein contained shall not be deemed a waiver of the right to do so thereafter. Any violation of this Sub-Declaration, whether in whole or in part, is hereby declared to be a nuisance and, without limitation, the Sub-Association or any Owner shall be entitled to avail itself of all remedies available under applicable law or in equity for the abatement of a nuisance in addition to all other rights and remedies set forth hereunder or otherwise available at law or in equity. This Sub-Declaration may be enforced by Declarant and its successors and assigns, as Declarant, and by the Sub-Association, by proceedings at law or in equity against the person, firm or other entity violating or attempting to violate any covenant or covenants, either to restrain the violation thereof or to recover damages together with reasonable attorneys' fees and court costs. Further, in the event Declarant or the Sub-Association fails to act to enforce any covenant or restriction herein, any Owner may enforce these restrictions as aforesaid against any other Owner. Declarant agrees for itself and the Sub-Association that this Sub-Declaration and the covenants contained herein shall be enforced uniformly and without prejudice against any Owner.

(ii) Each of the Sub-Association and the Declarant may impose fines or suspend privileges or services in the event of an Owner's failure to comply with the requirements of this Sub-Declaration, the Master Declaration, any Governing Documents, or any architectural guidelines or rules promulgated by the Declarant and/or the Sub-Association. In such circumstances, the Sub-Association and/or the Declarant (as the case may be) may require a hearing be held before an adjudicatory panel appointed by the Board to determine if an Owner should be fined or if privileges or services should be suspended. If the Board fails to appoint an adjudicatory panel to hear such matters, hearings under this paragraph shall be held before the Board. The Owner charged shall be given notice of the charge, opportunity to be heard and to present evidence, and notice of the decision.

(iii) Fines hereunder shall be Assessments secured by liens as more particularly described in this Sub-Declaration. If it is decided that a suspension of privileges or services should be imposed, the suspension may be continued until the violation or delinquency is cured.

ARTICLE 3.4 Severability. Invalidation of any one of the sentences, provisions, covenants, or restrictions by judgment or court order shall in no way affect any other part of this Sub-Declaration, which shall remain in full force and effect.

ARTICLE 4 RESTRICTIONS ON USE AND RIGHTS OF THE SUB-ASSOCIATION, DECLARANT, AND OWNERS

To the extent not otherwise addressed in the Master Declaration, the following restrictions are placed on the Property (including without limitation all Lots and Common Area) and the use thereof:

ARTICLE 4.1 Permissible Uses. No Lot shall be used except for residential purposes (with the exception of any sales center, office, building, or model home constructed or used by the Declarant, its agent, or any builder who has received the prior written permission of Declarant (“Builder”)). No building of any type shall be erected, altered, placed, or permitted to remain on any Lot other than a Dwelling Unit and its accessory building(s), which Dwelling Unit and its accessory building(s) must comply with any applicable zoning regulations and the requirements of this Sub-Declaration (including, but not limited to, compliance with any rules and regulations adopted by the Sub-Association, now or hereafter, as amended and/or replaced from time to time). The Lots (other than the Common Area) within the Property shall be limited to one (1) single-family Dwelling Unit and accessory structures with appropriate setbacks approved in accordance with the terms of this Sub-Declaration.

ARTICLE 4.2 Care and Maintenance. Each Owner shall (a) keep the interior of its Dwelling Unit (including, but not limited to, all appliances and utility systems), and its Lot in a safe, neat and clean condition at all times; (b) permit no unsafe or unsanitary conditions in or on its Dwelling Unit or Lot; (c) comply with any and all obligations imposed upon Owners by applicable building and housing codes; and (d) not deliberately or negligently destroy, deface, damage or remove any part of any Dwelling Unit or Common Area, or knowingly permit any person to do so. If an Owner fails to comply with the standards or requirements of the Sub-Association relative to maintenance after written notice to do so the Sub-Association shall have the right to undertake the necessary maintenance or repairs at the expense of the defaulting Owner.

ARTICLE 4.3 Offensive Activity. No noxious or offensive trade or activity shall be conducted upon any Lot, or in the Common Area, nor shall anything be done thereon which may be or may become an annoyance or nuisance to any other Owner, or which may endanger the health or safety of any other Owner of the Property.

ARTICLE 4.4 Noise and Disorderly Conduct. No Owner shall engage in any disorderly conduct on the Property, or cause or allow any disturbance, including, but not limited to, shouting, singing, or playing any musical instruments, radio, stereo, or television, in a manner that unreasonably disturbs any other Owner of the Property.

ARTICLE 4.5 Fire Hazards. No Owner shall make any alterations to its Dwelling Unit or bring or keep anything therein which will increase the risk of fire, conflict with fire laws or the regulations of the applicable governmental entity, or increase the premiums of any insurance policy on the buildings on the Property maintained by the Sub-Association.

ARTICLE 4.6 Rubbish. All trash, garbage and other waste shall be kept in sanitary containers within each Dwelling Unit or appropriate containers on the Lot but which shall be screened from public view, and the Owner of each Lot shall be responsible for placing such garbage in a roll-out container and rolling the container out to the designated trash pick-up area on a regular basis. All trash containers or other equipment for storage or disposal of such waste shall be kept in a clean and sanitary condition and shall be located in appropriate areas concealed from public view, except on garbage collection days.

ARTICLE 4.7 Animals. No livestock, poultry, or other animals shall be kept or maintained in any Dwelling Unit or on any Lot, except for common household pets (such as cats and dogs) that otherwise comply in all respects with the provisions of this Sub-Declaration and the Master Declaration. No pets may be kept or bred for any commercial purposes, and no savage or dangerous pets may be kept on the Property. All pets shall be controlled so as not to create a nuisance or unreasonable disturbance (including, but not limited to, loud and excessive barking) on the Property. All pets must be housed inside a Dwelling Unit, and no pet shall be permitted upon the Common Area unless carried or leashed by a person that can control the pet. Pets shall not be permitted to defecate in the Common Area, or urinate on the shrubbery, and each Owner shall clean up immediately after its pet if an accident occurs. All pets shall be registered or inoculated as required by law. Each Owner shall hold the Sub-Association harmless from any claim resulting from any action of his pet, and shall repair at its expense any damage to the Common Area caused by its pet. If any Owner violates these rules with respect to a pet more than twice in any twelve (12) month period, then in addition to any other applicable rights and remedies, the Sub-Association shall have the right to require the Owner to remove the pet permanently from the Property upon not less than ten (10) days' written notice. If any Owner violates these rules with respect to any non-pet animal, then in addition to any other applicable rights and remedies, the Sub-Association shall have the right to require the Owner to immediately remove the non-pet animal permanently from the Property.

ARTICLE 4.8 Decks. Any deck appurtenant to any Dwelling Unit shall be kept in a clean, neat, and orderly condition at all times, and shall not be used for the overnight storage of garbage, or for the drying of laundry. In particular, but not as a limitation, towels and banners shall not be hung on the deck or balcony railings, and any dead plants shall be removed promptly. No indoor outdoor carpeting, hot tub, or other pool shall be installed on any deck. Any furniture on the deck shall be appropriate outdoor furniture and shall be maintained in a neat, tidy, and good condition. Barbecue grills may be stored (but not used) on a rear deck, but all other personal property (such as bicycles, lawn care equipment, and recreational equipment) shall be stored in a manner so as not to be visible from the Common Area or other Lots. If permitted by applicable building codes and/or zoning ordinances, an Owner may use or store a cooking grill on a rear deck, but such Owner shall be responsible for complying with all applicable laws, ordinances, and regulations in connection with such storage and use. As used in this provision, "deck" means a porch-like improvement (not a pier or similar improvement).

ARTICLE 4.9 Clotheslines. No clothesline of any type shall be placed, used or allowed to remain on any Lot.

ARTICLE 4.10 Use of Common Area in General. No Owner shall obstruct the entrances, streets, sidewalks, driveways, parking areas, and/or other facilities in the Common Area in any way, or use them for other than their intended purposes. The Common Area shall not be used for the storage of supplies, personal property, trash, or refuse of any kind except in Common Area trash receptacles placed at the discretion of the Board and/or the Declarant, and then only in reasonable amounts and frequency. There shall be no bicycles, tricycles, wagons, toys or other miscellaneous personal property parked or left in the Common Area at any time. All bicycles shall be parked in the area designated for bicycles (if any). No activity shall be carried on nor conditions maintained by any Owner either in his Dwelling Unit or upon the Common Area which despoils the appearance of the Property.

ARTICLE 4.11 Utilities and Other Easements. Declarant reserves unto itself, its successors and assigns, a perpetual alienable and releasable easement and right on, over and under the ground to erect, maintain and use water, irrigation, electric, gas, telephone, sewage and television cables, and any other utilities lines and conduits for the purpose of bringing public or other services, at this time known or unknown, to the Property on, in, under and over the streets or roads and over any Lot shown on any Recorded Plat of the Property, within ten (10) feet of each lot line fronting on a street, within ten (10) feet along the rear line of each Lot and over such other areas as are so identified on any recorded plats of the Property. In addition, the Sub-Association may cut, in the above described easements, as well as anywhere else that may be required, drain ways for surface water and/or to install underground storm drainage wherever and whenever such action is required by applicable health, sanitation, or other state or local authorities, or in order to maintain reasonable standards of health, safety, and/or appearance. In addition, along street fronting property lines, in the ten (10) foot easement hereby reserved, Declarant also reserves, for itself, the Association (as defined in the Master Declaration (the "Master Association")) and the Sub-Association, the right to install, maintain, and repair bike and pedestrian paths, street lights and/or street-side landscaping, which right shall automatically transfer to the applicable association at any time(s) when there is no Class II membership, or sooner if Declarant so desires. The Declarant may, but is not required to, release any of the easements reserved herein as to any Lot for which it deems such easement is unnecessary for the efficient development and operation of the Property, but it may do so only until two (2) years after Class II membership has last terminated.

ARTICLE 4.12 Minimum Square Feet in Dwelling Unit. The Declarant reserves unto itself and the Sub-Association the right to establish and/or modify the minimum square feet standards for Dwelling Units from time to time and of varying amounts in various portions of the Property. The initial minimum square footage is 1,480 square feet of heated living area consisting of the first and second floor of the Dwelling Unit (excluding any basement, walkout, and attic spaces).

ARTICLE 5 ADDITIONAL RIGHTS RESERVED TO DECLARANT

ARTICLE 5.1 Withdrawal of Property. The Declarant reserves the right to amend this Sub-Declaration for the purpose of removing any portion of the Property that has not yet been improved with structures from the coverage of this Sub-Declaration. Such amendment shall not require the consent of any person other than the Owner(s) of the property to be withdrawn, if not the Declarant, and, if required, applicable governmental entities (such as the FHA or the VA, if applicable). If the property is or includes Common Area of the Sub-Association, the Sub-Association must first consent to such withdrawal.

ARTICLE 5.2 Right to Develop. The Declarant and its employees, agents, contractors, and designees shall have a right of access and use and an easement over and upon all of the Common Area for the purpose of making, constructing, and installing such improvements to the Common Area as it deems appropriate in Declarant's sole discretion. Every person who acquires any interest in the Property (i) acknowledges that the Property is a sub-community (the "Sub-Community") of a larger community that is a master planned community (the "Master Community"), the development of which is likely to extend over many years, and may include additional sub-communities and common areas that are allocated to specific users that do not include some or all of the Owners, and (ii) agrees not to protest, challenge, or otherwise object to (a) changes in uses or density of property outside the Property, or (b) changes in the site plan(s), including, but not limited to, any filed with the County of Mecklenburg.

ARTICLE 5.3 The rules and regulations attached hereto as Exhibit B and incorporated herein by this reference are hereby adopted and instituted. The Sub-Association shall have the right to adopt additional rules and regulations from time to time, and to amend, remove, and replace rules and regulations from time to time. Without limiting the generality of the immediately preceding sentence, Declarant shall have the right, without the consent or approval of the Owners, to add Common Area, change Dwelling Unit types, and, subject to the terms of this Sub-Declaration, withdraw property.

ARTICLE 5.4 Right to Transfer or Assign Declarant Rights. Any or all of the rights and obligations of Declarant set forth in this Sub-Declaration or the Bylaws may be transferred in whole or in part to other persons; provided, the transfer shall not reduce an obligation nor enlarge a right beyond that which the Declarant has under this Sub-Declaration or the Bylaws. No such transfer or assignment shall be effective unless it is in a written instrument signed by the Declarant and duly recorded in the Mecklenburg County Registry. The foregoing sentence shall not preclude Declarant from permitting other persons to exercise, on a one time or limited basis, any right reserved to Declarant in this Sub-Declaration where Declarant does not intend to transfer such right in its entirety, and in such case it shall not be necessary to record any written assignment unless otherwise necessary to evidence Declarant's consent to such exercise.

ARTICLE 6 MEMBERSHIP; VOTING RIGHTS IN THE SUB-ASSOCIATION RIGHTS AND RESPONSIBILITIES OF THE SUB-ASSOCIATION

ARTICLE 6.1 Membership. Every person or entity who is a record Owner of a fee simple interest in any Lot in the Property is subject by this Sub-Declaration (and any other declarations made in connection with this Sub-Declaration) to all rights, responsibilities, and assessments of the Sub-Association and shall be a Member of the Sub-Association, provided, however, that any

such person or entity who holds such interest merely as a security for the performance of an obligation shall not be a Member.

ARTICLE 6.2 Voting Classes. The Sub-Association shall have two (2) classes of voting memberships:

(i) Class I. The Class I Members shall be all Owners of Lots within the Property, other than the Declarant as long as Class II membership exists. Any Class I Member in the Property shall be entitled to one (1) vote for each Lot which it owns. In the case of multiple ownership of any Lot, however, those multiple Owners shall be treated collectively as one Owner.

(ii) Class II. The Class II Member shall be the Declarant, who shall be entitled to six (6) votes for each Lot owned by it within the Property. The Class II membership shall cease and be converted to Class I membership on the happening of the first to occur of the following events: (i) twenty (20) years pass from the date of filing this Sub-Declaration in the ROD, (ii) voluntary termination of the Class II membership by Declarant as evidenced by the recording of a certificate by Declarant in the ROD terminating such class, or (iii) the date that Declarant, or any entity in which Declarant is a member or partner, or its successors or assigns (as Declarant, and not merely as Owner of any Lot(s)), no longer owns any ownership interest in any portion of the Property. If the Class II membership has been terminated or has expired and subsequently additional properties owned by the Declarant thereafter become subject to Sub-Declaration pursuant to the terms of this Sub-Declaration, the Class II membership shall immediately be reinstated as of the date such additional properties become subject to this Sub-Declaration and shall not terminate until the earliest of the aforementioned termination criteria is thereafter satisfied. The Class II member will itself appoint all of the members of the Board until the termination of the Class II membership. So long as there remains a Class II Member, no vote of the Sub-Association shall be deemed approved without the consent of the Class II Member.

ARTICLE 6.3 Voting; Proxies

(i) In the event only one of the multiple Owners of a Lot is present at a meeting of the Sub-Association, the Owner who is present is entitled to cast the vote(s) allocated to that Lot. If more than one of the multiple Owners are present, the vote(s) allocated to that Lot may be cast only in accordance with the agreement of a majority in interest of the multiple Owners. A majority agreement is conclusively presumed if any one of the multiple Owners casts the votes allocated to that Lot without protest being made promptly to the person presiding over the meeting by any of the other Owners of the Lot.

(ii) Vote(s) allocated to a Lot may be cast pursuant to a proxy duly executed by an Owner. If a Lot is owned by more than one person, each Owner may vote or register protest to the casting of votes by the other Owners through a duly executed proxy. An Owner may not revoke a proxy given pursuant to this paragraph except by actual notice of revocation to the person presiding over a meeting of the Sub-Association. A proxy is void if it is not dated. A proxy shall terminate eleven (11) months after its date, unless it specifies a shorter term.

(iii) No vote(s) shall be allocated to a Lot owned by the Sub-Association.

ARTICLE 6.4 Rights and Responsibilities of the Sub-Association. Subject to the rights of Owners and Declarant as set forth in this Sub-Declaration, and the rights of the Master Association, the Sub-Association has exclusive management and control of the Sub-Association's Common Area and all improvements thereon and all furnishings, equipment, and other personal property relating thereto. The Sub-Association's duties with respect to such Sub-Association's Common Area include, but are not limited to, the following:

- (i) maintenance of the Sub-Association's Common Area;
- (ii) management, operation, maintenance, repair, servicing, replacement, and renewal of all landscaping, improvements, equipment, irrigation facilities, and personal property constituting part of the Sub-Association's Common Area or located upon the Sub-Association's Common Area so as to keep all of the foregoing in good, clean, attractive, sanitary, safe, and serviceable condition, order, and repair;
- (iii) all landscaping of the Sub-Association's Common Area;
- (iv) maintenance of adequate public liability insurance insuring the Sub-Association and its officers and directors, and adequate property casualty or hazard insurance with a minimum replacement value in a reasonable amount (as determined by the Sub-Association) after application of any deductibles, for the benefit of the Sub-Association with respect to the Sub-Association's Common Area, all of the foregoing insurance policies being maintained and insurance proceeds being used in compliance with applicable law;
- (v) payment of all taxes and assessments validly levied, assessed, or imposed with respect to the Sub-Association's Common Area;
- (vi) maintenance of private streets and recreational and other facilities located on the Sub-Association's Common Area (until such time, if ever, as any such area is dedicated and accepted by: a governmental entity; quasi-governmental entity; or conservation agency, conservation trust, or similar entity);
- (vii) payment of assessments for public and private capital improvements made to or for the benefit of the Sub-Association's Common Area; and
- (viii) procure and maintain insurance as required under Article 9.

The Sub-Association may (but is not required to), in its discretion, also provide other services as and to the extent the Sub-Association deems appropriate, such as, but not limited to, security services or devices, including but not limited to operation of an entry guardhouse and any other security gates, security personnel, and overall traffic control. Expenses of the Sub-Association in performing these tasks, should the Sub-Association choose to assume responsibility for these tasks, shall be a Common Expense.

ARTICLE 6.5 Third-Party Services. The Sub-Association may obtain and pay for the services of any person or entity to manage its affairs to the extent the Board deems advisable, as well as such other person or entity as the Board determines is necessary or desirable, whether such person or entity is furnished or employed directly by the Sub-Association or by any person or

entity with whom it contracts. Without limitation, the Board may obtain and pay for legal, accounting, engineering, and other professional services advisable, necessary, or desirable in connection with the Sub-Association's Common Area or the enforcement of this Sub-Declaration, the Sub-Association's Articles of Incorporation, Bylaws, rules, or regulations. The Sub-Association may, acting through its Board, contract with the Master Association, other residential associations, other residential sub-association, or commercial entities, neighborhoods, or clubs to provide services or perform services on behalf of the Sub-Association.

ARTICLE 6.6 Ownership by the Sub-Association. The Sub-Association may acquire, hold, exchange, and dispose of property (including real property, tangible personal property, and intangible personal property), subject to such restrictions as from time to time may be contained in this Sub-Declaration, the Sub-Association's Articles of Incorporation, or the Bylaws.

ARTICLE 6.7 Rules and Regulations. The Sub-Association, from time to time, may adopt, add, alter, amend, rescind, and enforce reasonable rules and regulations governing use and operation of the Common Area, which rules and regulations shall be consistent with the rights and duties established by this Sub-Declaration. The validity of the Sub-Association's rules and regulations, and their enforcement, shall be determined by a standard of reasonableness for the purpose of protecting the value and desirability of the Property.

ARTICLE 6.8 Non-Performance by Owner. The Sub-Association may perform any duty required of an Owner hereunder or under the Bylaws or under the Sub-Association's rules and/or regulations, and assess the costs thereof against the Owner's Lot(s) and/or Dwelling Unit(s), as a Special Individual Assessment in accordance with the provisions of Article 8.5 hereof.

ARTICLE 6.9 Landscaping. The Sub-Association may provide for or perform itself the services of landscaping and maintenance of right-of-way dedication areas on the Property so as to ensure an aesthetically pleasing and uniform look along roads, streets, rights-of-way, or the Sub-Association's Common Area that are in the Property. Expenses of the Sub-Association in performing these tasks, should the Sub-Association choose to assume responsibility for these tasks, shall be a Common Expense.

ARTICLE 6.10 Limitation on Litigation of the Sub-Association. No judicial or administrative proceeding shall be commenced or prosecuted by the Sub-Association unless approved by a vote of seventy-five percent (75%) of the Members. This Article 6.10 shall not apply, however, to (a) actions brought by the Sub-Association to obtain injunctive relief to enforce the provisions of this Sub-Declaration, (b) actions brought by the Sub-Association related to the imposition and collection of assessments, and (c) proceedings involving challenges to ad valorem taxes. This Article 6.10 shall not be amended unless such amendment so made by the Declarant or is approved by a vote of seventy-five percent (75%) of the Members.

ARTICLE 7 PROPERTY RIGHTS IN THE COMMON AREA

ARTICLE 7.1 Members' Easements of Enjoyment. Subject to the provisions of this Declaration (see, e.g., Article 7.3), every Member shall have a right and easement of enjoyment in

and to all of the Sub-Association's Common Area and the Facilities, and such easement shall be appurtenant to and shall pass with the title to every Lot.

ARTICLE 7.2 Title to Common Area. The Declarant may retain the legal title to any Common Area until such time as it has completed improvements, if any, thereon, and until such times as Declarant so wishes. Upon such conveyance the Sub-Association shall accept any such Common Area.

ARTICLE 7.3 Limitations. The rights of Members created herein shall be subject to the following:

(i) The right of the Declarant, in its sole discretion, to grade, pave, or otherwise improve any road or street shown on any Recorded Plat.

(ii) The right of the Sub-Association to formulate, publish, and enforce reasonable rules and regulations concerning the use and enjoyment of the Sub-Association's Common Area, including the right to limit the number of guests, to regulate hours of operations and behavior, and to curtail any use or uses it deems necessary for either the protection of the Facilities or the peace and tranquility of adjoining residents.

(iii) The right of the Sub-Association to suspend the enjoyment rights of any Member for (i) any period during which any assessment of that Member remains unpaid, and (ii) any infraction of any published rules and regulations adopted by the Sub-Association.

(iv) The right of the Sub-Association to lease and use any of the Common Area for functions, lessons, or special events and to allow the lessee to charge admission or other fees for functions, lessons, or special events.

(v) The right of the Sub-Association or its assignee to charge reasonable admission and other fees for use of any of the Sub-Association's Facilities and/or Common Area.

(vi) The right of the Sub-Association to dedicate or transfer all or any part of the Sub-Association Common Area for such purposes and subject to such conditions as may be agreed to by the Sub-Association. Except as provided below, no such dedication or transfer shall be effective unless the Declarant and the Members entitled to at least seventy-five percent (75%) of the Class I votes agree to such dedication or transfer and the Declarant and the Sub-Association signify their agreement by a signed and recorded written document; provided that, notwithstanding the foregoing, the Sub-Association and the Declarant shall each have the right, power and authority to grant easements and rights-of-way for the installation and maintenance of drainage facilities and of utilities, whether private, public or quasi-public, including cable television, water, gas and sewer upon, over, under and across any Common Area, without the assent of the Members when, in the sole opinion of the Declarant or the Board, as applicable, such easements are required or reasonably necessary for the development and/or the convenient use and enjoyment of the Property and, in the sole opinion of the Declarant or said Board, as applicable, will not unreasonably interfere with the overall use and enjoyment of the Common Area; and provided further that this Article 7.3 shall not preclude the Board from conveying at such purchase price as the Board deems appropriate strips or portions of the Common Area to any Owner in order to resolve any gap, gore, overlap, or other boundary line conflict or to make the Lot more usable as a home site provided

such conveyance does not in the good faith judgment of the Board adversely affect the overall use and enjoyment of the Common Area.

- (vii) All other provisions of this Sub-Declaration that affect such matters.

ARTICLE 7.4 Outside Use of Common Area. The Master Association may, upon approval of the Sub-Association, permit owners in other neighborhoods in the Master Community to use all or a portion of any the Sub-Association's Common Area upon payment of reasonable user fees.

ARTICLE 7.5 Emergency Escape and Rescue. Subject to the provisions of this Sub-Declaration, and without limiting any rights or obligations of any party under this Sub-Declaration, and only to the extent required by applicable zoning, code, and laws relating to emergency escape and rescue, including, but not limited to, applicable portions of the North Carolina Residential Code (collectively, the "Escape and Rescue Laws"), Declarant hereby grants, bargains, dedicates, and conveys to all Owners and occupants of Dwelling Units directly abutting Common Areas, for their benefit (and prohibiting construction of permanent barriers blocking egress paths of easement areas, to the extent required by the Escape and Rescue Laws), a permanent and perpetual, non-exclusive right of way and easement over all applicable Common Areas for ingress and egress to access public rights-of-way. The foregoing easements shall be appurtenant to and shall pass with the title to every applicable Lot in the Property.

ARTICLE 8 COVENANT FOR PAYMENT OF ASSESSMENTS

ARTICLE 8.1 Creation of the Lien and Personal Obligation for Assessments. Each Member, other than the Declarant, who is an Owner, by acceptance of a deed therefor, and all other Members, whether or not it shall be so expressed in any such deed or other conveyance, shall be deemed to and does hereby covenant and agree to pay as limited below, to the Sub-Association:

- (i) annual assessments or charges as herein or in the Bylaws provided;
- (ii) special assessments for capital improvements (such annual and special assessments to be fixed, established, and collected from time to time as herein or in the Bylaws provided); and
- (iii) Special Individual Assessments, as defined and described in Article 8.5.

The annual and special assessments and any Special Individual Assessments of an Owner and any fines, liquidated damages or summary charges as herein or in the Bylaws provided, together with such interest thereon and costs of collection thereof as herein provided, shall be a charge on the land and shall be a continuing lien upon the Lot and/or Dwelling Units against which each such Assessment. Without limiting the foregoing, each such Assessment, together with such interest thereon and costs of collection thereof as hereinafter provided, shall also be the personal obligation of the person or persons jointly and severally, who is (are) the Owner(s) of such properties at the time when the Assessment fell due.

ARTICLE 8.2 Purpose of Assessments. The annual assessments levied by the Sub-Association shall be used to promote the recreation, health, access, maintenance of property values, security, safety, and welfare of the residents of the Property and other Members, and in particular for:

(i) improvement, maintenance, and replacement of any of the Sub-Association's Common Area, including, without limitation, the Facilities;

(ii) payment of the Common Expenses;

(iii) maintenance of the exteriors and related improvements of the townhomes in the Property, including siding, thresholds, the exterior of window and doors frames, paint, gutters, roofs, foundations, walkways, lawns, irrigation systems and landscaping, but not including repair or replacement of any window glass or maintenance of any improvement added to a townhome after completion of initial construction thereof by the Owner or occupant of such townhome;

(iv) establishment of capital replacement reserves; and

(v) acquisition of services and facilities devoted to the foregoing purposes or for the use and enjoyment of the Sub-Association's Common Area, including but not limited to, the cost of repairs, replacements, additions, the cost of labor, equipment, materials, management, and supervision, the payment of taxes assessed against the Common Area, the procurement and maintenance of insurance related to the Common Area, its recreational facilities and use in accordance with the Bylaws, the employment of attorneys to represent the Sub-Association if advisable, and such other requirements as are advisable to perform all of the aforesaid functions and purposes.

ARTICLE 8.3 Assessment of Uniform Rates. Except as may otherwise be set forth in this Sub-Declaration, annual and special assessments shall be fixed at uniform rates for every Lot and/or Dwelling Unit within the Property. Assessments paid to the Sub-Association shall not in any way diminish or offset any Assessments due and owing under the terms of the Master Declaration to the Master Association unless otherwise specifically provided in writing by the Master Association and the Sub-Association.

ARTICLE 8.4 Special Assessments for Capital Improvements.

(i) In addition to the regular annual Assessments, the Sub-Association may levy in any assessment year, a special assessment, applicable to that year only, for the purpose of, without limitation, defraying, in whole or in part, the cost of professional or consulting fees, any construction or reconstruction, unexpected repairs or replacement of any capital improvement (including, without limiting the generality thereof, any lake, waterway, or pond) located upon the Sub-Association's Common Area, including the necessary fixtures and personal property related thereto, provided that any such Assessment shall have the consent of no less two-thirds (2/3) of the votes of the Members who are voting in person or by proxy at a meeting duly called for this purpose, written notice of which shall have been sent to all Members in accordance with the provisions of the Bylaws.

(ii) In addition to the foregoing special assessment approved by the Members, as described in the immediately preceding paragraph, the Sub-Association may levy a special assessment, in the event of emergencies in which the Sub-Association perceives a threat to persons or to property, without the consent of the Members. Unless otherwise approved by a majority vote of the Members, the amount of such each such Assessment (individually, not in the aggregate) shall not exceed \$1,000.00 per Lot or Dwelling Unit (said \$1,000.00 being in US Dollar value in the year 2020; thereafter, said \$1,000.00 shall increase by CPI).

ARTICLE 8.5 Special Individual Assessments. In addition to the regular annual assessments and the special assessments described above, the Sub-Association may levy, from time to time, on a particular Lot and/or Dwelling Unit rather than on all Lots, Dwelling Units, or types of Lots or Dwelling Units, special individual assessments (“Special Individual Assessments”), immediately due and payable, consisting of any fines assessed by the Sub-Association under authority contained in this Sub-Declaration or in the Bylaws for an Owner’s violations of the terms and conditions of this Sub-Declaration, any liquidated damages or summary charges imposed under authority contained in Sub-Declaration or the Bylaws, together with costs, fees, and expenses (including, but not limited to, reasonable attorneys’ fees) incurred by the Sub-Association incidental to the enforcement of any rules and regulations, the collection of Assessments (both annual and special), or the collection of damages or charges arising under this Sub-Declaration or the Bylaws. For the sake of clarity, “under this Sub-Declaration” includes the additional rules and regulations that are authorized by this Sub-Declaration.

ARTICLE 8.6 Date of Commencement of Annual Assessment: Due Dates. The regular annual Assessments provided for herein shall be paid (as determined by the Board) in monthly, quarterly, semiannual, or annual installments. Except as may otherwise be provided for in this Sub-Declaration, the payment of the regular annual assessment by Owners shall commence as to each Lot or Dwelling Unit, on the first day of the month following the conveyance of that property by the Declarant. The first regular annual assessment shall be adjusted according to the number of months remaining in the calendar year. The Board shall fix the amount of the annual assessment at least fifteen (15) days in advance of each regular annual assessment period. Written notice of the regular annual assessment shall be sent to every Member subject thereto. The due dates shall be established by the Board. The Sub-Association, upon any qualified demand (as determined by the Board) at any time, shall furnish a certificate in writing signed by an officer of the Sub-Association setting forth whether any specific assessment has been paid. Such properly executed certificate of the Sub-Association as to the status of the assessment is binding upon the Sub-Association as of the date of its issuance. The first assessment levied against any additions to the Property not now subject to assessment, at a time other than the beginning of any assessment period, shall be an amount which bears the same relationship to the regular annual assessment as the remaining number of months in that year bear to twelve. The due date of any special assessment or any other assessments permitted by this Sub-Declaration shall be fixed in the resolution or resolutions authorizing such assessments.

ARTICLE 8.7 Duties of the Board of Directors. The Board shall fix the amount of the assessment or assessments for each Assessment period at least fifteen (15) days in advance of such date or period and shall, at that time, prepare a roster of the Owners and assessment applicable thereto which shall be kept in the office of the Sub-Association, or at any other place designated by the Board upon notice to the Owners, and which shall be open to inspection by any Owner.

Unless otherwise provided by the Board, the annual Assessment period (“Annual Assessment Period”) shall be deemed the calendar year commencing January 1st and ending December 31st of any year. The Board shall have the right to change the Annual Assessment Period to a fiscal year other than a calendar year. Within thirty (30) days after adoption of any proposed budget the Board shall provide to all Owners a summary of the budget and a notice of the meeting to consider ratification of the budget, including a statement that the budget may be ratified without a quorum. The Board shall set a date for a meeting of the Owners to consider ratification of the budget, such meeting to be held not less than ten (10) nor more than sixty (60) days after mailing of the summary and notice. There shall be no requirement that a quorum be present at the meeting. The budget shall be deemed ratified at the meeting unless at that meeting a majority of the Owners reject the budget. In the event the proposed budget is rejected, the periodic budget last ratified by the Owners (or the initial budget if no other budget has been ratified by the Owners) shall be continued until such time as the Owners ratify a subsequent budget proposed by the Board.

ARTICLE 8.8 Judgments Against Sub-Association. Assessments to pay a judgment against the Sub-Association may be made only against the Lots and/or Dwelling Units at the time the judgment was entered, in proportion to their Common Expense liabilities. If Common Expense liabilities are reallocated, Assessments for Common Expenses and any installment thereof not yet due shall be recalculated in accordance with the reallocated Common Expense liabilities.

ARTICLE 8.9 Effect of Non-Payment of an Owner’s Assessment: The Personal Obligation of the Owner; the Lien; Remedies of Sub-Association. If the assessments of an Owner are not paid within thirty (30) days following the date due, then such assessments shall become delinquent and shall, together with such interest thereon and costs of collection thereof as hereinafter provided, become as of the date due a continuing lien on the Lot(s) and/or Dwelling Unit(s), as appropriate, from and after the time of the filing of a claim of lien with the applicable authority, which lien shall bind such Lot(s) and/or Dwelling Unit(s), as appropriate, in the hands of the then-Owner, it heirs, devisees, personal representatives, successors, and assigns. The personal obligation of the then Owner to pay such assessment shall remain its personal obligation for the statutory period; and, in addition, shall pass to its successors in title (as an encumbrance or lien against the Lot(s) and/or Dwelling Unit(s), as appropriate) unless expressly waived by the Board. If the assessment(s) is not paid within thirty (30) days after the due date, the assessment(s) shall bear interest from the date of delinquency at the rate of one and one-half percent (1.5%) per month (or the highest rate allowed by law, whichever is less), and the Board, acting on behalf of the Sub-Association, may authorize its officers to bring appropriate civil action against the Owner personally obligated to pay the same or to file a claim of lien and foreclose such lien against any such Lot(s) and/or Dwelling Unit(s), as appropriate, in like manner as a mortgage on real estate under power of sale under Article 2A of Chapter 45 of the North Carolina General Statutes, and there shall be added to the amount of such assessment, the costs of such action and reasonable attorneys’ fees or other cost incurred by the officers of the Sub-Association pursuant to authority of the Board. In acceptance of a deed to a Lot and/or Dwelling Unit, the Owner consents to, and grants to the Sub-Association, the power of sale provided herein. A claim of lien shall specify the name and address of the Sub-Association, the name of the record owner of the Lot and/or Dwelling Unit at the time the claim of lien is filed, a description of the Lot and/or Dwelling Unit, and the amount of the lien claimed. In the event a judgment is obtained against any Owner for such Assessments, such judgment shall include interest on the assessment as above provided and a reasonable attorneys’ fee to be fixed by the court, together with the costs of the action. In addition,

the Board may set a schedule of late fees also due and payable if an assessment is not paid within thirty (30) days after the due date, which late fees shall be in addition to the other changes described herein.

ARTICLE 8.10 Subordination of the Lien on an Owner's Property to Mortgages or Deeds of the Trust. Violation of this Sub-Declaration shall not defeat or render invalid the lien of any mortgage or deed of trust now or hereafter made in good faith and for value upon any Lot(s) or Dwelling Unit(s). The lien on any Lot(s) or Dwelling Unit(s) of the Assessments provided for herein shall be absolutely subordinate to the lien of any mortgage or deed of trust now or hereafter placed upon any Lot(s) or Dwelling Unit(s), unless a lien shall have been filed in the Office of the Clerk of Court of Mecklenburg County prior to the recordation of such mortgage or deed of trust; provided, however, any mortgagee or trustee in actual possession or any purchaser at any trustee's, mortgagee's or foreclosure sale shall be bound by and be subject to this Sub-Declaration as fully as any other Owner effective upon the date of acquisition. The subordination shall not relieve any Lot(s) or Dwelling Unit(s), from liability for any Assessments now or hereafter due and payable. The sale or transfer of a Lot, Improved Lot or Dwelling Unit shall not affect any lien for Assessments. No such sale or transfer shall relieve a Lot or Dwelling Unit from liability for any assessments thereafter becoming due, or from the lien thereof, but the liens provided for herein shall continue to be subordinate to the lien of any such mortgage or deed of trust.

ARTICLE 8.11 Exempt Property. The following property subject to Sub-Declaration shall be exempted from the Assessments, charges and liens created herein:

- (i) all Common Area;
- (ii) all properties exempted from taxation by the laws of the State of North Carolina, upon the terms and to the extent of such legal exemption (Homestead exemptions shall not be considered an exemption);
- (iii) all Lots and Dwelling Units owned by the Declarant to the extent the provisions of Article 8.13 apply thereto; and
- (iv) all Limited Common Area;
- (v) all Lots and Dwelling Units otherwise expressly exempted by this Sub-Declaration (if any).

ARTICLE 8.12 Declarant's Obligations for Assessments. Whenever the Declarant owns ten percent (10%) or more of the Lots or Dwelling Units comprising the Property from time to time, the Declarant's obligation for Assessments on unsold Lots or Dwelling Units subject to this Sub-Declaration will be limited to the difference between the actual operating costs of the Sub-Association and the Assessments levied on the existing Members other than the Declarant. In no event, however, will the Declarant be required to make a deficiency contribution in any amount greater than the Builder Rate (defined below) on unsold Lot(s) or Dwelling Unit(s) owned by Declarant. Whenever the Declarant owns less than ten percent (10%) of the Lots in the Property, Declarant shall pay Assessments at the Builder Rate (as hereinafter defined) for each Lot or Dwelling Unit owned by the Declarant, and the Declarant shall not have any obligation to make a deficiency contribution.

ARTICLE 8.13 Builders' Obligations for Assessments. Notwithstanding anything to the contrary in in this Sub-Declaration, the annual Assessments on Lots or Dwelling Units owned by a Builder that does not intend to live in the improvements it is constructing or causing to be constructed on such Lots shall accrue annually at a rate equal to fifty percent (50%) of the rate applicable to Owners (other than the Declarant) (such discounted rate herein called the "Builder Rate") from the date of the Builder's purchase of the Lot. As soon as a Lot becomes an Improved Lot, the Builder shall pay Assessments at the full rate for each Dwelling Unit on the Improved Lot.

ARTICLE 8.14 Assessments Separate from Assessments Pursuant to Master Declaration. Owners are hereby reminded that Assessments described hereunder are different from and in addition to any and all assessments established in the Master Declaration, and the levying and payment of Assessments pursuant to Sub-Declaration does not diminish, replace, or alter the levying and payment of assessments by and to the Association as described in the Master Declaration.

ARTICLE 8.15 Reserve Funds. From and after the recording of this Sub-Declaration, the Sub-Association may establish and maintain a reserve fund or funds for replacement and maintenance of the improvements located on the Common Area. In that event, the Sub-Association shall allocate revenues from Assessments to such reserve fund or funds in such amounts and in such manner as may be established from time to time by the Board. The reserve fund or funds shall be segregated from operating funds of the Sub-Association and may be in the form of a cash deposit, or invested in certificates of deposit or similar obligations issued by a bank or savings and loan association or the obligations of, or fully guaranteed as to principal by, the United States of America. The reserve fund or funds shall be used for the purpose of repairing, replacing, and maintaining any facilities owned by the Sub-Association, and for such other purposes as may be determined by the Board.

ARTICLE 9 INSURANCE AND RECONSTRUCTION

ARTICLE 9.1 Sub-Association Insurance. The Sub-Association shall procure and maintain, or cause to be maintained, insurance in accordance with the following provisions:

(i) Property Insurance. The Sub-Association shall obtain and maintain at all times a policy or policies of property insurance (ISO special form or its equivalent) covering all buildings and common area improvements located within the Common Area, in an amount not less than one hundred percent (100%) of the replacement cost of such improvements at the time such insurance is purchased and at the time of each renewal thereof, exclusive of the costs of excavation, paving, foundations and footings, with a commercially reasonable deductible not in excess of \$10,000.00 (said \$10,000.00 being in US Dollar value in the year 2020; thereafter, said \$10,000.00 shall increase by CPI).

(ii) Townhome Insurance. The Sub-Association shall maintain property insurance covering the townhome Lots. The insurance shall name the Board as Trustee for the Owners, for the benefit of the Owners and their respective mortgagees, as their respective interests may appear. The insurance shall cover not less than one hundred percent (100%) of the replacement cost of the townhomes. The insurance shall afford coverage against all risks of direct physical loss, including

fire and other hazards covered by the standard extended coverage endorsement, as well as such other risks as may be advisable in the Board's discretion. The insurance shall include the following provisions:

- (a) That each Owner is an insured person under the policy to the extent of his insurable interest;
- (b) That the insurer waives its right of subrogation against the Owner or members of his household as well against the Declarant and the Sub-Association;
- (c) That no act or omission by the Owner, unless acting within the scope of his actual authority on behalf of the Sub-Association, will preclude recovery under the policy;
- (d) That the policy may not be canceled or significantly modified without at least thirty (30) days' prior written notice to all insured parties, including any mortgagees; and
- (e) That the policy shall be considered the primary policy should there be other insurance in the name of the Owner covering the same loss.

Any loss covered by the insurance shall be adjusted with the Sub-Association, but the proceeds for any loss are payable as directed by the Sub-Association and not to any mortgagee. Proceeds shall be held in trust for the benefit of Owners and lienholders as their interests may appear. Proceeds shall be disbursed first for restoration and repair of the damaged property, and Owners and lienholders shall not be entitled to any portion of the proceeds unless there is a surplus after complete restoration and repair, or the entire Sub-Association is terminated

(iii) Liability Insurance. The Sub-Association shall obtain and maintain a policy of commercial general liability insurance in such limits as the Sub-Association may, from time to time, determine, covering each member of the Board, the property manager, if any, and each Owner with respect to liability arising out of the use, ownership, maintenance, or repair of the Common Area; provided, however, that in no event shall the limits of such policy ever be less than \$1,000,000.00 per occurrence (said \$1,000,000.00 being in US Dollar value in the year 2020; thereafter, said \$1,000,000.00 shall increase by CPI). The liability insurance policy shall include endorsements covering cross liability claims of one insured against another, including the liability of the Owners as a group to a single Owner, and shall provide that it may not be cancelled or substantially modified without at least thirty (30) days' prior written notice to the Sub-Association. The Sub-Association shall review such limits annually.

(iv) Fidelity Insurance. The Sub-Association shall procure and maintain, or cause to be maintained, a policy or policies of insurance coverage to protect against dishonest acts on the part of officers, directors, volunteers, managers and employees of the Sub-Association and any other persons who handle or are responsible for the handling of funds of the Sub-Association. Any such fidelity insurance policy must name the Sub-Association as the named insured and shall be written in an amount as may be determined by the Sub-Association, but in no event less than one half the annual budgeted amount of annual Assessments, or the amount required by any Mortgagee, whichever is greater.

(v) Other Insurance. The Board, or its duly authorized agent, shall have the authority to and shall obtain and maintain in effect such other insurance coverages as may be required by any applicable governmental entity or agency ("Agency") (as same may be amended or modified from time to time), and such other insurance coverages as the Board shall determine from time to time to be desirable (such as directors and officers liability insurance, performance bonds, flood insurance, worker's compensation, payment on labor and material bonds and maintenance bonds).

ARTICLE 9.2 Premiums. Premiums upon insurance policies purchased by the Sub-Association, and any amounts paid as a result of a deductible on such policies, shall be paid by the Sub-Association and charged as a Common Expense of the Sub-Association. All such premiums shall be paid by the Sub-Association at least thirty (30) days prior to the expiration date of such policies.

ARTICLE 9.3 General Standards. All insurance policies maintained by the Sub-Association or any Owner or Builder under this Article 9 shall be written with a company or companies licensed to do business in the State of North Carolina and holding a rating of A or better in *Best's Insurance Guide*, provided that such insurance is available from a company with at least such a rating and that, in the event not so available, such insurance is obtained from a company with the highest rating available in *Best's Insurance Guide*. Upon written request, duplicate originals of all such Sub-Association policies shall be furnished to the requesting Owner or Mortgagee, provided that in lieu of such duplicate original policies the Sub-Association may deliver certificates to such requesting party attesting that such policies and such insurance are in force and effect.

ARTICLE 9.4 Owners' Insurance. Each Owner, by the acceptance of a deed or ground lease of such Owner's Dwelling Unit(s), hereby agrees and covenants to procure and maintain in full force and effect at all times, (i) comprehensive public liability insurance, in an amount of at least \$250,000.00 per occurrence (said \$250,000.00 being in US Dollar value in the year 2020; the Association shall have the right to raise said amount in reasonable increments), including liability for injuries to and death of persons, and for property damage, such policy to include a waiver of subrogation provision as to any rights the insurer may have against the Association or other Lot Owners for any loss, (ii) property insurance covering all of such Owner's personal property on the Lot and in the Dwelling Unit, such policy to waive any right of subrogation against the Sub-Association and all other Lot Owners for negligence resulting in a loss to such personal property, and (iii) such other insurance as the Association may reasonably require. If any Owner of a Dwelling Unit fails to maintain the insurance required in this Article 9.4, the Sub-Association may, but shall not be obligated to, obtain such insurance and pay any premiums required in connection with obtaining such insurance. Such Owner shall be personally liable to the Sub-Association for all costs incurred by the Sub-Association in obtaining such insurance, to the same extent as such Owner is liable for Assessments levied against such Owner's Lot(s). Upon the failure of such Owner to reimburse such premiums and costs within ten (10) days after such Owner's receipt of a written demand therefor from the Sub-Association, the Sub-Association may establish and enforce a lien therefor upon the Owner's Lot(s) in accordance with and subject to the provisions of Sub-Declaration applicable to a lien for Assessments. Each Owner shall file a copy of such policies with the Sub-Association within thirty (30) days after purchase of each such Lot and shall provide proof of such insurance to the Sub-Association annually. All policies of insurance carried by any Owner pursuant hereto shall name the Association as an additional insured, and shall provide that

the same may not be canceled (including, without limitation, a non-renewal) or amended without at least thirty (30) days prior written notice being given by the insurer to the Association.

ARTICLE 9.5 Builder's Insurance. The foregoing provisions and any other provision of Sub-Declaration to the contrary notwithstanding, during the period of time any Lot is owned by any Builder (if at all) and until construction of a Dwelling Unit on such Lot shall have been substantially completed as evidenced by issuance of a certificate of occupancy (or equivalent) for such Dwelling Unit: (I) the Sub-Association shall not be obligated to obtain or maintain property insurance on such Lot and/or Dwelling Unit; and (ii) the Builder which owns such Lot shall, at its sole cost and expense, obtain and maintain a so-called "Builder's Risk Completed Value" or "Course of Construction" insurance policy in non-reporting form for all improvements under construction, renovation or alteration in an amount approved by Declarant, such approval not to be unreasonably withheld or delayed. Such insurance shall in any event provide for the benefit of Declarant and the Sub-Association coverage substantially equivalent to the property insurance required above to be maintained by the Sub-Association after completion of such construction.

ARTICLE 9.6 Responsibility for Reconstruction or Repair.

(i) If any portion of the Common Area is damaged by perils covered by the property insurance maintained by the Sub-Association, the Sub-Association shall cause such damaged portion to be promptly reconstructed or repaired with the proceeds of insurance available for that purpose, if any, and any such reconstruction or repair shall be substantially in accordance with the plans and specifications for the original development of the Property.

If the proceeds of insurance are not sufficient to repair damage or destruction of any part of the Common Area by fire or other casualty, or (b) the damage or destruction is caused by any casualty not insured against, or (c) insurance proceeds are not available for repair or reconstruction by reason of the application of deductible clauses of applicable policies, then the repair or reconstruction of any damaged improvements within the Common Area shall be accomplished promptly by the Sub-Association and the cost of such repairs shall be a Common Expense of the Sub-Association.

(ii) Each Owner shall have the obligation to maintain in good condition and repair such Owner's Lots and Dwelling Unit and all other permitted structures and/or improvements located on such Owner's Lot in accordance with the applicable provisions of Sub-Declaration. If any Lot, Dwelling Unit or other improved portion of any Lot is damaged by perils covered by the property insurance maintained by the applicable Owner(s), such Owner(s) shall cause such damaged property to be promptly reconstructed or repaired in accordance with the provisions of Sub-Declaration and any such reconstruction or repair of the applicable Dwelling Unit shall be substantially in accordance with the plans and specifications for the original construction of the applicable Dwelling Unit.

ARTICLE 9.7 Procedure for Reconstruction or Repair.

(i) In the event of a casualty causing damage to any portion of the Common Area, the following provisions shall govern and apply:

(a) As soon as is reasonable after a casualty which causes damage to any portion of the Common Area, the Sub-Association shall obtain reliable and detailed estimates of the cost to place the damaged property in condition as good as that before the casualty. Such costs may include professional fees and premiums for such bonds as the Board deems necessary.

(b) If the proceeds of the insurance for such casualty are not sufficient to defray the estimated costs of reconstruction and repair by the Sub-Association (including the professional fees and premiums, if any), one or more special assessments may be made against all Owners in sufficient amounts to provide funds for the payment of such costs, and the proceeds of such special assessments shall be deposited with the Sub-Association. The Sub-Association may borrow funds to pay for such costs.

(ii) In the event of a casualty causing damage to all or any portion of a Dwelling Unit, the insurance proceeds from any Owner's insurance policy on such Dwelling Unit, unless retained by a Mortgagee of such Dwelling Unit, shall be applied first to the repair, restoration or replacement of the Dwelling Unit. Any such repair, restoration or replacement shall be done in accordance with the original plans and specifications for such Dwelling Unit; unless the Owner desires to construct structures differing from those originally approved and constructed, in which event the Owner shall submit plans and specifications for the differing improvements and structures to the Architectural Review Committee (as defined in the Master Declaration) and obtain its approval prior to commencing the repair, restoration or replacement. If any Mortgagee does not permit insurance proceeds to be used to restore any damaged or destroyed Dwelling Unit, the Owner is still obligated to repair, restore or replace the damaged Dwelling Unit, at the Owner's own expense, promptly and expeditiously. If the Owner does not begin to make said repairs, restorations or replacements within a reasonable period of time after the damage or destruction has occurred, the Sub-Association shall have the right, but not the obligation, to have said repairs, restorations or replacements completed on the Dwelling Unit. If the Sub-Association chooses to proceed in this manner, the Owner of the Dwelling Unit shall be liable to the Sub-Association for costs incurred in completing the repairs, replacements or restorations on the Dwelling Unit, to the same extent and in the same manner as the Owner is liable for Assessments levied against such Dwelling Unit and/or associated Lot. Upon the failure of the Owner to pay such costs as may be incurred by the Sub-Association within ten (10) days after such Owner's receipt of written demand therefor from the Sub-Association, the Sub-Association may establish and enforce a lien therefor upon the Owner's Lot in accordance with and subject to the provisions of Sub-Declaration applicable to an Assessment lien. If any Mortgagee does not permit insurance proceeds to be used to restore any damaged or destroyed Dwelling Unit, and both the Owner and the Sub-Association choose not to make said restoration, then the Owner or Sub-Association shall raze the remaining improvements and structures on said Lot and return the Lot to its natural condition free of all debris. The Owner shall be liable for any costs incurred by the Sub-Association in razing said improvements and structures, and also for any subsequent improvements that must be made to adjacent Dwelling Units, in order to maintain their integrity and the appearance of the Master Community and/or Sub-Community. Upon the failure of the Owner to pay such costs as may be incurred by the Sub-Association within ten (10) days after such Owner's receipt of written demand therefor from the Sub-Association, the Sub-Association may establish and enforce a lien therefor upon the Owner's Lot in accordance with and subject to the provisions of this Sub-Declaration applicable to an Assessment lien.

ARTICLE 10 MAINTENANCE

ARTICLE 10.1 Maintenance by Sub-Association. The Sub-Association shall be responsible for the operation, maintenance, and repair of the Common Area.

ARTICLE 10.2 Maintenance by Owners. Except for any exterior maintenance obligations with respect to townhomes specifically provided herein as the responsibility of the Sub-Association, each Owner of a Lot shall keep the Lot owned by it, and all improvements thereon, in a clean and sanitary condition and in good order and repair. All fixtures and equipment installed within a Lot shall be maintained and kept in repair by the Owner thereof. If an Owner of any Lot fails to maintain that Lot and the improvements thereon in accordance with this Sub-Declaration in a manner reasonably satisfactory to the Board, in its discretion, the Board shall give written notice to such Owner and, if the necessary maintenance is not completed within twenty (20) days, the Sub-Association shall have the right, through its agents, contractors, and employees, to enter upon the Lot of the defaulting Owner and to repair, maintain, and restore the Lot and the exterior of the building and any other improvements erected thereon in a reasonable and good and workmanlike manner. The cost of such repair, maintenance, or restoration shall immediately be deemed a Special Individual Assessment levied by the Sub-Association against such Owner and such Owner's Lot, shall become the personal obligation of such Owner and shall become a lien against such Lot enforceable in accordance with the provisions of this Sub-Declaration. In the event of an emergency (as so deemed by the Board in its discretion), the Sub-Association shall have the right, with or without prior notice to the Owner, to enter any Lot to make emergency repairs necessary for the proper maintenance and operation of the Property.

ARTICLE 11 EXTERIOR MAINTENANCE OF TOWNHOMES AND INSURANCE

ARTICLE 11.1 Exterior Maintenance. The Sub-Association shall provide routine maintenance and repair services for the exterior of each townhome in the Property as Common Expenses. Such services shall include maintenance and repair of all exterior surfaces including roofs, siding, trim, gutters and downspouts, porches, stoops, patios, railings, decks, light fixtures, driveways, walkways and the exterior surfaces of exterior doors, provided the same were originally provided by the original builder of the townhome, as well as ordinary lawn and landscaping care. It shall be the duty of the Owner and not the Sub-Association to maintain the following: glass surfaces, light bulbs, window and door screens, weather-stripping, and any exterior improvement, including trees, plants, flowers or other landscaping, not originally provided by the original builder of the townhome or by the Sub-Association. The Board shall provide the aforesaid maintenance as it determines in its sole discretion in order to uphold the aesthetic quality and property values of the Property, but in any event, upon a regular written schedule. A blanket easement over each Lot and the exterior of each townhome in the Property is hereby reserved for the Sub-Association and its contractors to perform such maintenance at all reasonable times.

ARTICLE 11.2 Costs of Maintenance. No repairs or maintenance performed by an Owner shall have the effect of reducing his liability for payment of Assessments to the Sub-Association. Should a need for repairs or maintenance of the Common Areas or any portion of the Buildings for which the Sub-Association is responsible, resulting from the negligent or intentional acts of an

Owner, his family members, guests, tenants, invitees, contractors, employees or agents, the costs of the same shall be a Special Individual Assessment payable by that Owner and enforceable as set forth in Article 8 hereof.

ARTICLE 11.3 Sub-Association's Duty to Rebuild Townhome Lots. After the completion of a townhome on a Lot, if such unit suffers casualty damage by fire or other means, the Sub-Association shall, with the concurrence of the first mortgagee of the unit, if any, contract to rebuild or repair such damage in accordance with the unit's original plans and specifications upon receipt of the insurance proceeds covering the loss. In the event the insurance proceeds are insufficient to pay all the costs to repair or rebuild, the Board shall levy a Special Assessment upon all Members as required to cover any deficiency.

ARTICLE 11.4 Rights and Responsibilities of the Sub-Association. Subject to the rights of Owners and Declarant as set forth in this Sub-Declaration, the Sub-Association has exclusive management and control of any of the Common Areas and all improvements thereon and all furnishings, equipment and other personal property relating thereto as well as any Limited Common Areas as provided in this Sub-Declaration. The Sub-Association's duties with respect to any such Common Areas include, but are not limited to, the following:

(i) maintenance of the Common Areas.

(ii) management, operation, maintenance, repair, servicing, replacement and renewal of all landscaping, improvements, equipment and personal property constituting part of the Common Areas or located upon the Common Areas to keep all the foregoing in good, clean, attractive, sanitary, safe and serviceable condition, order and repair.

(iii) all landscaping of the Common Areas.

(iv) maintenance of adequate public liability insurance insuring the Sub-Association and adequate property casualty or hazard insurance with a minimum replacement value of eighty percent (80%) after application of any deductibles, for the benefit of the Sub-Association with respect to the Common Areas, all of the foregoing insurance policies being maintained and insurance proceeds being used in general compliance with the provisions of North Carolina General Statutes Section 47F-3-113 as amended from time to time.

(v) payment of all taxes and assessments validly levied, assessed or imposed with respect to the Common Areas.

(vi) maintenance of driveways; maintenance of streets within the Property until maintenance is accepted by the municipality for the Property; and other improvements located on the Common Areas; provided, however, each Owner shall be strictly responsible for any damage to the Common Areas resulting from any acts or omissions of that Owner, its invitees or licensees.

(vii) payment of assessments for public and private capital improvements made to or for the benefit of the Common Areas.

(viii) The Sub-Association may in its discretion also provide other services as and to the extent the Sub-Association deems appropriate.

(ix) Maintenance and operation of any shared water system if the Dwelling Units are not individually metered.

ARTICLE 11.5 Third-Party Services. The Sub-Association may obtain and pay for the services of any person or firm to manage its affairs to the extent the Board deems advisable. Without limitation, the Board may obtain and pay for legal, accounting, engineering or other professional services necessary or desirable to give effect to this Sub-Declaration, the Sub-Association's Articles of Incorporation, Bylaws, rules or regulations. The Sub-Association may, acting through its Board, contract with other residential associations or commercial entities, neighborhoods or clubs to provide services or perform services on behalf of the Sub-Association and its Members.

ARTICLE 11.6 Ownership by the Sub-Association. The Sub-Association may acquire, hold, exchange and dispose of real property and tangible and intangible personal property, subject to such restrictions as from time to time may be contained in this Sub-Declaration, the Sub-Association's Articles of Incorporation or the Bylaws.

ARTICLE 11.7 Rules and Regulations. The Sub-Association, from time to time, may adopt, alter, amend, rescind and enforce reasonable rules and regulations governing use and operation of the Common Areas and the general governance and operation of the Property, including the relations among Owners, which rules and regulations shall be consistent with the rights and duties established by this Sub-Declaration. The Board shall be permitted to adopt standards of conduct, maintenance or repair applicable to any requirements or standards set forth herein, which may evolve over time and differ from Board to Board.

ARTICLE 11.8 Non-Performance by Owner. The Sub-Association may perform any duty required of an Owner hereunder or under any of the Governing Documents and assess the costs thereof against the Owner's Dwelling Unit(s), as a Special Individual Assessment in accordance with the provisions of Article 8.5 hereof. The Sub-Association shall first provide five (5) days' written notice to the Owner of its intention to perform such duties and charge the Owner for the cost thereof, and it shall so perform the duties and charge the Owner for the cost thereof only if the duties are not fully performed at the end of the five (5) day period. The Sub-Association and its contractors hereby have an easement to go upon any Lot (but not into any Dwelling Unit) to perform any such duty if the Owner fails to do so.

ARTICLE 11.9 Landscaping.

(i) The Sub-Association may provide for or perform itself the services of landscaping and maintenance of all Common Areas in the Property (including if desired any right-of-way dedication areas on or adjacent to the Property). Expenses of the Sub-Association in performing these tasks shall be a Common Expense and billed to the Sub-Association.

(ii) The Sub-Association may provide for or perform itself the services of landscaping and maintenance of front yards on individual Lots and the right-of-way dedication areas on or adjacent to the Property to ensure an aesthetically pleasing and uniform look equal to or exceeding the standards of the highest-quality similar communities along roads, streets, rights-

of-way, or Common Areas that are within or adjacent to the Property. Expenses of the Sub-Association in performing these tasks shall be a Common Expense

ARTICLE 11.10 Lessees. If any Dwelling Unit is rented or leased and the tenant thereof is violating these covenants or the rules or regulations of the Sub-Association and the Owner of the same is unable or unwilling to correct and/or cure such violations, then, after reasonable written notice provided to the Owner at his or her last known address as well as to the tenant, the Sub-Association shall have the power to evict the renter as provided by North Carolina law, and to execute upon any such eviction, and each Owner hereby irrevocably appoints the Sub-Association as his or her attorney-in-fact for such purpose and agrees to pay the costs thereof including reasonable attorney's fees as well as an administrative fee in the amount of 15% of all such costs.

ARTICLE 12 PARTY WALLS

ARTICLE 12.1 General Rules of Law Apply. To the extent not inconsistent with the provisions of this Article, the general rules of law regarding party walls and liability for property damage resulting from negligence or willful acts or omissions shall apply to each party wall or party fence which is built as part of the original construction upon each Lot and any replacement thereof. If any portion of any structure originally constructed by the original builder, including any party wall, any extension of a party wall, or any common fence, protrudes over an adjoining Lot, or into the Common Area, such structure, wall or fence shall be deemed to be a permitted encroachment upon the adjoining Lot or Common Area, and the Owners and the Sub-Association shall neither maintain any action for the removal of the encroaching structure, wall or fence, nor any action for damages. If there is a protrusion as described in the immediately preceding sentence, it shall be deemed that the affected Owners or the Sub-Association have granted perpetual easements to the adjoining Owner or Owners for continuing maintenance and use of the encroaching structure, wall or fence. The foregoing provision also shall also apply to any replacements in conformance with the original structure, wall or fence constructed by Declarant. The provisions of this section shall be perpetual in duration and shall not be affected by an amendment of this Declaration.

ARTICLE 12.2 Sharing of Repair and Maintenance. The costs of reasonable repair and maintenance of a party wall shall be shared by the Owners who own such party wall in equal shares, to the extent such maintenance is not the responsibility of the Sub-Association hereunder.

ARTICLE 12.3 Destruction by Fire or Other Casualty. If a party wall is destroyed or damaged by fire or other casualty, any Owner who has used the wall may restore it, and if any other Owner thereafter makes use of the wall, he shall contribute to the cost of restoration thereof in his proportionate share, without prejudice, however, to the right of any such Owner to call for a larger contribution from the other under any rule of law regarding liability for negligent or willful acts or omissions.

ARTICLE 12.4 Weatherproofing. Notwithstanding any other provision of this Article, an Owner who by his negligent or willful act causes the party wall to be exposed to the elements shall bear the whole cost of furnishing the necessary protection against such elements.

ARTICLE 12.5 Right to Contribution Runs with Land. The right of any Owner to contribution from any other Owner under this Article shall be appurtenant to the land and shall pass to such Owner's successors in title.

ARTICLE 12.6 Easement and Right of Entry for Repair, Maintenance, and Reconstruction. Every Owner shall have an easement and right of entry upon the Lot and Dwelling Unit of any other Owner to the extent reasonably necessary to perform repairs, maintenance, or reconstruction of a party wall. Such repairs, maintenance, or reconstruction shall be done only with prior reasonable advance notice of at least 24 hours, expeditiously and in a professional manner, and, upon completion of the work, the Owner shall restore the adjoining Dwelling Unit to as near the same condition as that which prevailed prior to commencement of the work as is reasonably practicable.

ARTICLE 12.7 Certification with Respect to Contribution. If any Owner desires to sell his Dwelling Unit, he may, in order to assure a prospective purchaser that no adjoining Owner has a right of contribution as provided in this Article, request of the adjoining Owner or Owners a certification that no right of contribution exists, whereupon it shall be the duty of each adjoining Owner to make such certification within fifteen (15) days of such request and without charge. If the adjoining Owner claims the right of contribution, the certification shall contain a recital of the amount claimed and the basis therefor, which shall be binding on the adjoining Owner claiming the right.

ARTICLE 13 AMENDMENT TO SUB-DECLARATION

ARTICLE 13.1 Owner/Member Initiated. An amendment to this Sub-Declaration may be proposed upon a majority vote of the Owners (including the Declarant while the Declarant is an Owner), whether meeting as Owners or by instrument in writing signed by them. Any proposed amendment to this Sub-Declaration shall be transmitted in writing to all current Owners, and there shall be called a special meeting of the Owners for a date not sooner than ten (10) days nor later than sixty (60) days from date of notice. It shall be required that each Owner be given written notice of such special meeting, stating the time and place, and reciting the proposed amendment in reasonably detailed form, which notice, if mailed, shall be mailed not less than ten (10) days nor more than sixty (60) days before the date set for such special meeting. Such notices shall be made in compliance with the provisions of Article 3.2 hereof, and after made in compliance therewith, shall be deemed to be properly given. Any Owner may, by written waiver of notice signed by such Owner, waive such notice, and such waiver, when filed in the records of the Sub-Association, whether before or after the holding of the meeting, shall be deemed equivalent to the giving of notice to such Owner. At the meeting, the amendment proposed must be approved by an affirmative vote of sixty-seven percent (67%) of the votes (with the votes being calculated as provided in Article 6 hereof) of Owners (including the Declarant) entitled to vote in order for such amendment to become effective. At any meeting held to consider such amendment, the written vote of any Owner shall be recognized and counted even if such Owner is not in attendance at such meeting or represented thereat by proxy, provided such written vote is delivered to the Secretary of the Sub-Association prior to or at such meeting. If so approved, such amendment of Sub-Declaration shall be properly transcribed and certified by two (2) officers of the Sub-Association as having been duly adopted and approved by the requisite percentages of Owners and lenders.

The original or an executed copy of such amendment shall be recorded in the ROD, and no such amendment to this Sub-Declaration shall be effective until so recorded. If any amendment to this Sub-Declaration creates an inconsistency in the Bylaws, to the extent such inconsistency exists, this Sub-Declaration shall control. Without the prior written consent of the Declarant (during Class II membership), there shall not be allowed any Owner/Member-initiated amendments to this Sub-Declaration for a period of five (5) years from the date hereof. The above limitation shall in no way limit or diminish Declarant's rights to make amendments to any part of this Sub-Declaration under the powers reserved or otherwise provided for in this Sub-Declaration.

ARTICLE 13.2 Declarant's Right to Amend.

(i) Declarant, or its successor or assigns, shall be allowed to make (I) any amendments to this Sub-Declaration necessary, in the Declarant's opinion, for compliance with laws or regulations relating to FHA, HUD, VA, the Federal National Mortgage Association, or Office of Interstate Land Sales, or (ii) minor (non-substantial) amendments to this Sub-Declaration, notwithstanding any other provision contained herein, and without joinder of any other party, for the purposes of correcting any discovered typographical error contained herein, clarifying any ambiguity contained herein, or adding or deleting any incidental provisions deemed in the sole discretion of Declarant to be in the best interest of the Property, and the Owners therein, provided such incidental changes do not change the overall scheme of development of the Property as a residential development or change the Assessments of Lots. This right may be exercised, and shall be effective only upon the recordation of a "Corrected Declaration" in the ROD, which Corrected Declaration shall specifically reference this document, and the provision impacted. In addition, the Declarant, for so long as Class II membership exists, may amend this Sub-Declaration as shall be necessary, in its opinion, with the consent and approval of FHA or VA, and without the consent of any Owner, in order to qualify the Sub-Association for tax-exempt status. Such amendment shall become effective upon the date of its recording in the ROD.

(ii) So long as Declarant owns any portion of the Property, Declarant may unilaterally amend this Sub-Declaration to provide for additional restrictions as provided in this Sub-Declaration.

(iii) So long as Declarant remains a Class II Member, Declarant may supplement this Sub-Declaration to add additional property and impose additional restrictions on such property as provided in this Sub-Declaration.

(iv) Any such modification, amendment or termination of this Sub-Declaration so adopted shall be binding upon all Owners and mortgagees of the Property or portion thereof, and their respective heirs, successors and assigns. Every purchaser, grantee or assignee of any interest in the Property or portion thereof subject to this Sub-Declaration, by acceptance of a deed or other instrument of conveyance therefor, thereby agrees that the provisions of this Sub-Declaration shall run with and bind title to the Property as provided hereby. Notwithstanding any of the foregoing, no modification or amendment of this Sub-Declaration may revoke any consent, approval or waiver properly given or granted pursuant to the authority of this Sub-Declaration.

ARTICLE 13.3 When Effective; Recording; Title Searching. An amendment to Sub-Declaration that complies with the provisions of this Sub-Declaration shall be effective when

recorded in the ROD. The amendment shall be indexed under the name of the Declarant or its successor, the Sub-Association or its successor, or the Owners of the property in the Property. The failure of the amendment to be indexed under all of the foregoing shall not invalidate such amendment so long as the amendment has been indexed under at least one of the foregoing. Anyone searching title on Lots or Dwelling Units in the Property should search under the names of the foregoing to discover amendments to this Sub-Declaration that may have occurred after the Lot or Dwelling Unit has been conveyed to an Owner from the Declarant.

ARTICLE 14 CAPTIONS, INTRODUCTIONS AND GENDER

The captions and introductory material herein are inserted only as a matter of convenience and for reference and in no way define, limit or describe the scope of this Sub-Declaration nor the intent of any provision hereof. The use of the masculine gender in this Sub-Declaration shall be deemed to refer to the feminine and neuter genders, and the use of the singular shall be deemed to refer to the plural, and the use of the plural shall be deemed to include the singular, whenever the context so requires.

ARTICLE 15 SEVERABILITY AND GOVERNING LAW

The provisions of this Sub-Declaration are subject to applicable law. If any provision of this Sub-Declaration is found to be invalid by an applicable court, the invalidity of such provision shall not affect the validity of the remaining provisions hereof. All articles, sections, paragraphs, sentences, and provisions of this Sub-Declaration shall be severable each from each other without qualification. This Sub-Declaration and the separate provisions hereof shall be construed and enforced in accordance with the laws of the State of North Carolina without regard to principles of conflict of laws.

ARTICLE 16 CONSTRUCTION ACTIVITIES

All Owners, occupants, and users of Lots and/or Dwelling Units are hereby placed on notice that Declarant, and/or its agents, contractors, subcontractors, licensees, and other designees, successors, or assigns, may, from time to time, conduct blasting, excavation, construction, and other activities within the Property. By the acceptance of a deed or other conveyance or mortgage, leasehold, license, or other interest, and by using any portion of a Lot, Dwelling Unit, or the Property generally, the Owners and all occupants and users of Lots acknowledge, stipulate, and agree (a) such activities shall not be deemed nuisances, or noxious or offensive activities, under any applicable covenants or at law generally; (b) not to enter upon, or allow their children or other persons under their control or direction to enter upon (regardless of whether such entry is a trespass or otherwise) any property (including, without limitation, within or in proximity to the Lot) where such activities are being conducted (even if not being actively conducted at the time of entry, such as at night or otherwise during non-working hours); (c) that Declarant, and all of its agents, contractors, subcontractors, licensees, and other designees, successors and assigns, shall not be liable but, rather, shall be held harmless for any and all losses, damages (compensatory, consequential, punitive, or otherwise), injuries, or deaths arising from or relating to the aforesaid

activities; (d) that any purchase or use of any portion of a Lot and/or Dwelling Unit has been and will be made with full knowledge of the foregoing; and (e) this acknowledgment and agreement is a material inducement to Declarant to sell, convey, lease, and/or allow the use of Lots and Dwelling Units within the Property.

ARTICLE 17 LIMITED COMMON PROPERTY

ARTICLE 17.1 Certain portions of the Property, including Common Areas, may be designated as “Limited Common Area” and reserved for the exclusive use or primary benefit of Owners and occupants within a particular portion of the Property. By way of illustration and not limitation, Limited Common Area may include entry features, recreational facilities, landscaped medians and cul-de-sacs, roadways not necessary to provide other Lots or Improved Lots with access to public streets, bodies of water, swimming pools, walkways, nature trails, parks, green spaces, piers, and other portions of the Property (some, none, or all of the aforementioned may be constructed or not constructed, all at Declarant’s sole discretion; Declarant makes no representation that any such item will be constructed or otherwise provided). All costs associated with maintenance, repair, replacement, and insurance of a Limited Common Area shall be a Common Expense allocated among the Owners to which the Limited Common Area is assigned.

ARTICLE 17.2 Declarant may initially designate Limited Common Areas and assign the exclusive use thereof in the deed conveying such property to the Association or on a Recorded Plat. Declarant or the Association may re-designate property from Common Area to Limited Common Area, in the manner described hereunder, in the deed conveying such property to the Association or on a Recorded Plat. Declarant or the Association may re-designate property from Limited Common Area to Common Area, in the manner described hereunder, in the deed conveying such property to the Association or on a Recorded Plat.

ARTICLE 18 MISCELLANEOUS

ARTICLE 18.1 Ambiguities. If any discrepancy, conflict or ambiguity is found to exist with respect to any matters set forth in this Sub-Declaration, such ambiguity, conflict or discrepancy shall be resolved and determined by Declarant in its sole discretion. Declarant shall have the right to interpret the provisions of this Sub-Declaration and, in the absence of an adjudication by a court of competent jurisdiction to the contrary, its construction or interpretation shall be final and binding as to all persons or property benefited or bound by the provisions hereof. Any conflict between any construction or interpretation of Declarant and that of any other person or entity entitled to enforce any of the provisions hereof shall be resolved in favor of the construction or interpretation of Declarant.

ARTICLE 18.2 Zoning Requirements. This Sub-Declaration shall not be interpreted as permitting any action or thing prohibited by applicable zoning laws, or any laws, ordinances or regulations of any governmental authority or by specific restrictions imposed by any deed or other instrument of conveyance. In the event of any conflicts, the most restrictive provision shall be taken to govern and control.

ARTICLE 18.3 Exoneration of Declarant. Each Owner in the Property or any other party interested in the Property expressly agrees that no duty or obligation is imposed upon Declarant to enforce or attempt to enforce any of the covenants or restrictions contained herein, nor shall Declarant be subject to any liability of any kind or nature whatsoever with respect to any third party as a result of failing to enforce same. Furthermore, Declarant's approval (or approval by the Association) of any construction, building or structure, preliminary plans, Plans, specifications, site or landscaping plans or elevations or any other approvals or consents given by Declarant or the Association pursuant hereto or otherwise shall not be deemed a warranty, representation or covenant that any such structures, buildings, improvements, landscaping or other action taken pursuant hereto or in reliance thereon complies with any or all applicable laws, rules, requirements or regulations, the sole responsibility for such compliance being upon the Owner seeking approval; and Declarant and the Association are expressly released and relieved of any and all liability and responsibility in connection therewith.

ARTICLE 18.4 Rezoning. For a period of twenty (20) years from the date hereof, no Owner or contract purchaser of any of the Property, other than Declarant, shall apply for rezoning, changes or proffers, special use permits or special exceptions for any part of the Property without the prior written consent of Declarant, which consent may be granted or withheld in Declarant's sole discretion. Furthermore, every Owner, by its acceptance of a deed acquiring ownership of any portion of the Property, Lot or Dwelling Unit, hereby acknowledges and consents to any application for rezoning of the Property by Declarant or any application by Declarant for a variance or special use permit, including, without limitation, any rezoning application to reallocate or increase total building square footage entitlements permitted under applicable zoning, so long as such application is consistent with the development of the Property as an urban, mixed use commercial and residential project.

ARTICLE 18.5 Re-subdivision. No Owner other than Declarant may subdivide any Lot as initially conveyed by Declarant without the prior written consent of Declarant or the Association, which consent may be granted or withheld in their sole discretion. Declarant may provide for the right of an Owner to subdivide a Lot in the deed conveying such Lot, and such approval shall remain effective for the period of time specified in such deed.

ARTICLE 18.6 Captions. The captions of each article, section and subsection hereof are inserted only for convenience and are in no way to be construed as defining, limiting, extending or otherwise modifying or adding to the particular article, section or subsection to which they refer.

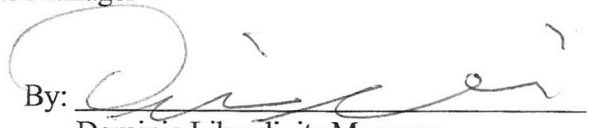
-- Signature page follows --

IN WITNESS WHEREOF, Declarant has caused this Sub-Declaration to be duly executed by due authority, as of the date first above written.

DECLARANT:

BEATY STREET DEVELOPMENT, LLC,
a North Carolina limited liability company

By: DAVIDSON BAY DEVELOPMENT, LLC,
a North Carolina limited liability company,
its Manager

By: 

Dominic Liburdi, its Manager

STATE OF Michigan
COUNTY OF Wayne

I, Michele M. Zyngier, a Notary Public of Wayne
County, State of Michigan, do hereby certify that Dominic Liburdi,
Manager of DAVIDSON BAY DEVELOPMENT, LLC, a North Carolina limited liability
company, Manager of **BEATY STREET DEVELOPMENT, LLC**, a North Carolina
limited liability company, personally appeared before me this day and acknowledged the
due execution of the foregoing instrument as his act and deed and as the act and deed of
DAVIDSON BAY DEVELOPMENT, LLC, as Manager of **BEATY STREET
DEVELOPMENT, LLC**.

Witness my hand and notarial seal, this 6th day of July, 2020.

Notary Public 

Print Name: Michele M. Zyngier

[Note: Notary Public must sign exactly as on
notary seal]

My Commission Expires: 3/17/2024

☐ [NOTARY SEAL]

(MUST BE FULLY
LEGIBLE)



Exhibit A

Legal Description of the Property

All that certain parcel of land, situated, lying and being in the Town of Davidson, Mecklenburg County, State of North Carolina, and more particularly described as follows:

Commencing at a point on the Southerly Right of Way of Almalfi Drive, said point also being the most Easterly point of a Common Open Space of Davidson Bay as shown in Map Book 59, page 842 of the Mecklenburg County Register of Deeds, said point also being located N84-35-09W 1753.89' from a one inch (1") iron found on the Westerly Right of Way of Beatty Street at the North-Easterly corner of Davidson Bay Phase Two as recorded in Map Book 50, page 352 of the Mecklenburg County Register of Deeds, thence N17-53-09E 54.95' to a point; Thence with the arc of a curve to the right having a radius of 115.00' an arc length of 29.95' (subtended by chord S46-22-30E 29.87') to a point, the Point of Beginning,

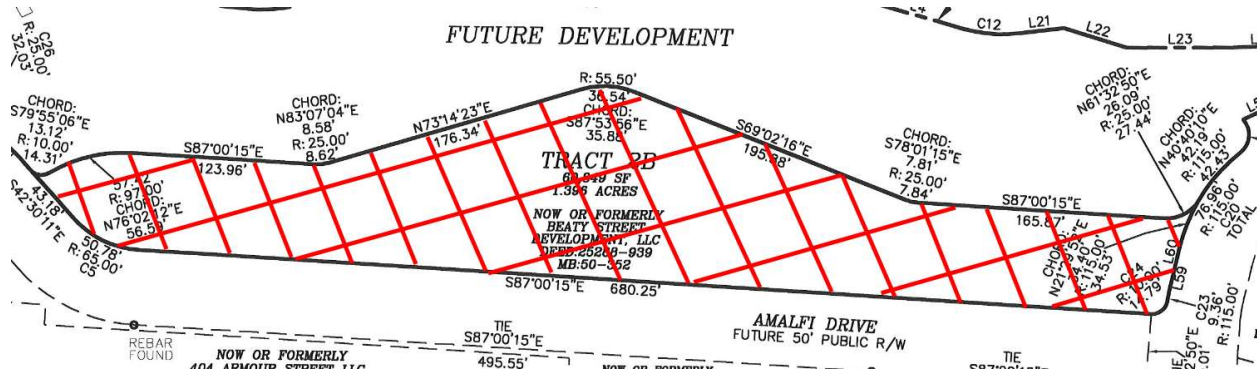
Thence from said Point of Beginning S42-30-11E 43.18' to a point; Thence with the arc of a curve to the left having a radius of 65.00' an arc length of 50.78' (subtended by chord S64-37-29E 49.50') to a point; Thence S87-0015E 680.25' to a point; Thence with the arc of a curb to the left having a radius of 10.00' an arc length of 14.79' (subtended by chord N50-36-49E 13.48') to a point; Thence with the arc of a curve to the right having a radius of 115.00' an arc length of 9.36' (subtended by chord N10-33-51E 9.36') to a point; Thence N12-53-48E 10.21' to a point; Thence N12-53-48E 16.82' to a point; Thence with the arc of a curve to the right having a radius of 115.00' an arc length of 34.53' (subtended by chord N21-29-52E 34.40') to a point; Thence with the arc of a curve to the right having a radius of 25.00' and arc length of 27.44' (subtended by chord S61-32-50W 26.09') to a point; Thence N87-00-15W 165.87' to a point; Thence with the arc of a curve to the right having a radius of 25.00' and arc length of 7.84' (subtended by chord N78-01-15W 7.81') to a point; Thence N69-02-16W 195.88' to a point; Thence with the arc of a curve to the left having a radius of 55.50' an arc length of 36.54' (subtended by chord N87-53-56W 35.88') to a point; Thence S73-14-23W 176.34' to a point; Thence with the arc of a curve to the right having a radius of 25.00' an arc length of 8.62' (subtended by chord S83-07-04W 8.58') to a point; Thence N87-00-15W 123.96' to a point; Thence with the arc of a curve to the left having a radius of 97.00' and arc length of 57.42' (subtended by chord S76-02-12W 56.59') to a point; Thence with the arc of a curve to the right having a radius of 10.00' an arc length of 14.31' (subtended by chord N79-55-06W 13.12') to a point; the Point of Beginning.

Said property being Tract 2b of the Beatty Street Development LLC property as shown on the boundary exhibit by Yarbrough-Williams & Houle Inc dated 7-7-2020 and containing 1.396 acres.

[Exhibit A is continued on the next page.]

Exhibit A

Depiction of the Property (shown as the cross-hatched areas)



“THIS MAP IS NOT A CERTIFIED SURVEY AND HAS NOT BEEN REVIEWED BY A LOCAL GOVERNMENT AGENCY FOR COMPLIANCE WITH ANY APPLICABLE LAND DEVELOPMENT REGULATIONS”

Exhibit B

Rules and Regulations

- 1 No Owner shall build any pier or similar improvement.
- 2 Entryways, parking areas, stairways, catwalks, hallways and walkways must be kept open and shall not be obstructed in any manner. Except for the Developer, no sign, notice or advertisement shall be posted on any portion of the Property except as shall have been approved in writing by the Sub-Association. No radio or television aerials or antennae shall be attached to, or placed upon or hung from any portion of the Property or the improvements thereon unless (i) in compliance with the architectural guidelines or rules promulgated by the Declarant and/or the Sub-Association, (ii) approved by Architectural Review Committee (as defined in the Master Declaration), and (iii) concealed from view from the Davidson Lake (the "Lake").
- 3 No objects shall be hung from porches, decks, balconies, window sills, doors, or terraces. No Owner shall cause anything to project out of any window or door except as may be approved in writing by the Sub-Association. No clotheslines or other similar device shall be allowed on any portion of the Property.
- 4 No unsightly personal property or clutter shall be visible from the Lake, shoreline, Facilities, Common Area, walkways, or similar areas.
- 5 No Owner shall make or permit any noises that will disturb or annoy the occupants of any portion of the Property or persons using the Lake, shoreline, Facilities, Common Area, walkways, or similar areas.
- 6 Each Owner shall keep its Lot in good state of preservation and cleanliness, and aesthetically pleasing when viewed from the Lake, shoreline, Facilities, Common Area, walkways, or similar areas.
- 7 In order to preserve the beauty of the Property, no garbage, trash, refuse or rubbish shall be deposited, dumped, or kept upon the Common Area, except in garbage collection facilities deemed suitable by the Sub-Association. All garbage and refuse from the Units shall be deposited with care in the facilities intended for such purpose only at such times in such manner as the Sub-Association directs. All disposals shall be used in accordance with instructions given to the Owner by the Association.
- 8 Each Owner shall be held responsible for the actions of his/her/its family members, invitees, guests, and similar parties.
- 9 Any consent or approval given under the rules and regulations by the Sub-Association shall be revocable at any time by the Sub-Association.

- 10 No dumping or release of wastewater or ballast shall be permitted. Owners shall not cause or allow any harmful substance or material that could adversely affect the water quality of the Lake. This includes, but is not limited to, herbicides, algacides, gasoline, and soil loosened in construction or carried by runoff. No person shall wash cars, boats, or other objects in a way that allows cleansers to enter the Lake. Trash, solvents, waste, and horticultural products of any kind must not be deposited into the Lake or storm drains, as runoff may flow into the Lake.
- 11 All Owners, their families, guests, invitees, and similar parties must abide by all posted speed limits and signs.
- 12 Owners are responsible for informing all family members, guests, and any similar parties are informed of, and abide by, all rules and regulations.
- 13 All activities at the Lake, shoreline, Facilities, and Common Area are at the individual's own risk.
- 14 In the event that Declarant and/or the Sub-Association (as applicable, the "Recovering Party") becomes involved in any lawsuit or other legal proceeding with a Member (the "Litigating Member") concerning the terms and provisions of the rules and regulations, the Association's by-laws, or any decision made by the Recovering Party, and the Recovering Party is determined to be the prevailing party in the lawsuit or other legal proceeding, the Recovering Party shall be entitled to collect the reasonable attorneys' fees and costs incurred by it in the lawsuit or other legal proceeding from the Litigating Member. The Recovering Party shall be entitled to cause said attorneys' fees and costs to be set forth in the judgment or order entered in the lawsuit or other legal proceeding and to collect the same as if they were an assessment owed to the Recovering Party by the Litigating Member.
- 15 Owners are responsible for any and all damage (including, but not limited to, vandalism and theft) to Sub-Association property caused by them, their family members, tenants, guests, and similar parties, which may result in their membership or privileges being revoked or suspended.
- 16 Responsible adult supervision (18 or over) is required for those under said age while at the Lake, shoreline, Facilities, and Common Area.
- 17 Proper attire is required at all times.
- 18 There shall be no polluting the Lake waters with garbage, leaves, or debris of any kind.
- 19 No person shall bathe or wash his/her hair in the Lake. No person shall wash any pet in the Lake.
- 20 There shall be no smoking or glass containers of any kind (including, but not limited to,

bottles) at the Lake, shoreline, Facilities, and Common Area.

- 21 It is the responsibility of the Owners to inform their guests and similar parties of all rules and regulations, and to ensure compliance therewith by such parties.
- 22 Alligators, snakes, and other wildlife may be present. Wildlife shall not be fed, teased, or mistreated.
- 23 Closed and/or quiet hours may be established.